

EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores

Large Cap (>\$200B) · Report Date: July 20, 2026

Latest financials: Q1 FY2026 · Model data as of 2026-07-20

UNDERWEIGHT

Composite · Valuation: SELL

Target \$94.23 · -16.7% upside

Price \$113.11

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$94.23 (-16.7% vs \$113.11); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Moderate revenue expansion (7.3% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT \$94.23	45%
FSA	Stable	Health +0.00 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.65 · 12m +20%	15%
Composite	UNDERWEIGHT	Score -0.14 · 50% confluence	—

Valuation anchor: -17% upside vs target; valuation rich but trend improving — wait for confirmation.

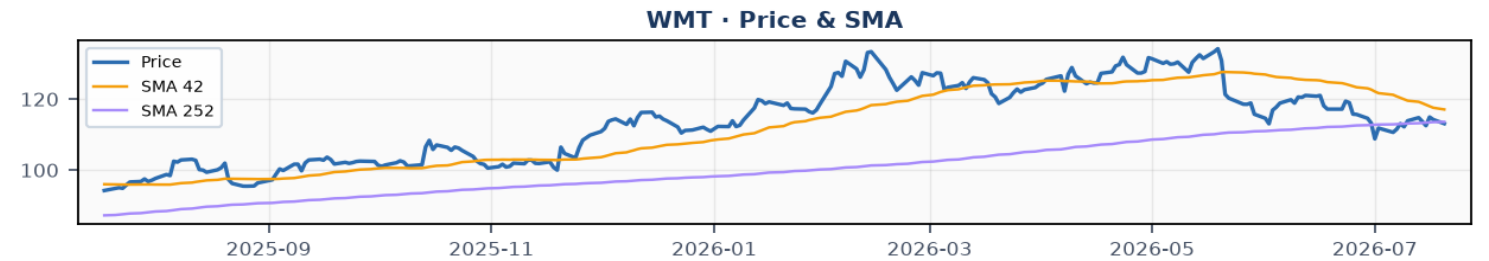
INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **SELL** rating; blended target \$94.23. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$900.14B	Shares Out.	7958.1M
52-Week Range	\$95.10 – \$135.16	P/E (TTM)	39.8x
P/B	9.5x	Beta	0.60
Avg Volume	22.09M	Analyst Rec.	Buy
Revenue (TTM)	\$725.30B	Rev Growth	+7.3%
Op. Margin	4.2%	FCF (TTM)	\$14.92B
Gross Margin	25.0%	ROE	24.1%
EV/EBITDA	21.9x	Debt/Equity	74.8%
EPS (TTM)	\$2.84	Div Yield	87.0%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	680,985	713,163	765,224	810,066	849,370
Revenue Growth (%)	N/A	4.7%	7.3%	5.9%	4.9%
Net Income (\$M)	19,436	21,893	23,491	24,868	26,074
Gross Margin (%)	24.9%	24.9%	25.0%	25.0%	25.0%
Net Margin (%)	2.9%	3.1%	3.1%	3.1%	3.1%
EPS (\$)	2.44	2.75	2.95	3.12	3.28
P/E (x)	46.31	41.12	38.32	36.20	34.52

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$117.09	Short-term trend	12m Momentum	+20.0%	
SMA (252d)	\$113.61	Long-term trend	3m Momentum	-11.4%	
RSI (14d)	46.7	Momentum oscillator	Ann. Volatility	21.9%	
Trend	Bullish		Sharpe Ratio	0.76	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-25.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+69.8%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$117.09, SMA252=\$113.61	Quant Score	+0.65	POSITIVE
			SMA Backtest (ann.)	24.6%	B&H; 28.9%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$81.93	-27.6%	32%	Included in blend
Comps — Blended	\$89.10	-21.2%	53%	Included in blend
Analyst consensus	\$138.59	+22.5%	15%	Included in blend
Blended target	\$94.23	-16.7%	100%	DCF 32% + Comps 53% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	4.00%	12.00%	\$652.02B	\$81.93	-27.6%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
COST	Costco Wholesale Corpo	\$416.75B	47.3x	30.1x	3.0%	+21.5%
TGT	Target Corporation	\$63.77B	18.5x	9.5x	3.2%	+6.7%
DG	Dollar General Corpora	\$27.74B	17.8x	12.5x	3.6%	+3.4%
DLTR	Dollar Tree, Inc.	\$24.25B	20.3x	12.8x	6.5%	+7.2%
WMT*	Walmart Inc.	\$900.14B	39.8x	21.9x	3.1%	+7.3%

* Subject company. Commands premium p/e vs peers. Trends: Moderate revenue expansion (7.3% YoY); Defensive profile (β=0.60); Sector: Consumer Defensive | Industry: Discount Stores - Risks: Standard sector cyclicality and macro exposure Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.